

FINANCIAL SERVICES AND MARKETS (AMENDMENT No. 1) REGULATIONS 2024

* In this document underlining indicates new text and striking through indicates deleted text.



FINANCIAL SERVICES AND MARKETS (AMENDMENT NO. 1) REGULATIONS 2024

Regulations to amend the Financial Services and Markets Regulations 2015.

Date of Enactment: 5 December 2024

The Board of Directors of the Abu Dhabi Global Market, in exercise of its powers under Article 6(1) of Law No. 4 of 2013 concerning the Abu Dhabi Global Market issued by His Highness the Ruler of the Emirate of Abu Dhabi, hereby enacts the following Regulations—

1. Amendments to the Financial Services and Markets Regulations 2015

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Part 16 Public Record and Disclosure of Information

The public record

196. The record of Authorised Persons etc.

(1) The Regulator must publish and maintain a record of every—

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(t) Key Individual; and

(u) Accepted Fiat-Referenced Token; and

(v) (u) any person falling within such other class (if any) as the Regulator may determine.

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Part 22 General

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258. Definitions

(1) In these Regulations, unless the context otherwise requires—

Accepted Fiat-Referenced Token	means a Fiat-Referenced Token that, in the opinion of the Regulator, meets the requirements that permit a Regulated Activity to be carried on in relation to it.
Fiat-Referenced Token	means a digital asset, the transfer and storage of which is achieved through the use of distributed ledger or similar technology, the purpose of which is to be

	<u>used as a medium of exchange with a stable store of value, by -</u> (a) <u>referencing a fixed amount of a single fiat currency; and</u> (b) <u>enabling the holder to redeem the token in exchange for the amount of the fiat currency referred to in (a) from its issuer upon demand.</u>
Issuing a Fiat-Referenced Token	<u>means the Regulated Activity specified in paragraph 53B of Schedule 1.</u>
Money Remittance	means receiving money or monetary value for remittance, including electronic remittance, to a location within or outside the Abu Dhabi Global Market, without the use of a Payment Account, Payment Instrument, <u>Fiat-Referenced Token</u> or Stored Value.
Payment Services	means: (a) services enabling cash to be placed in, or withdrawn from, a Payment Account and all of the operations required for operating a Payment Account; (b) the execution of Payment Transactions, including transfers of Money to or from a Payment Account by the user's Payment Service Provider, or by another Payment Service Provider, through: (i) direct debits, including one-off direct debits; (ii) Payment Transactions through a Payment Instrument; (iii) credit transfers between bank accounts, including standing orders; (c) issuing Payment Instruments; (d) Selling or issuing Stored Value; (e) receiving money or monetary value for transmission by means of a Payment

	Instrument to a location within or outside Abu Dhabi Global Market; (f) <u>the transferring of a Fiat-Referenced Token for the purpose of effecting a Payment Transaction;</u> (g) <u>enabling the settlement of a Payment Transaction effected through the transfer of a Fiat-Referenced Token;</u> (h) <u>the operation of a Payment Account to hold and safeguard Fiat-Referenced Tokens held for the purpose of effecting a Payment Transaction.</u>
Payment Transaction	means an act initiated by the Payer or Payee, or on behalf of the Payer, of placing, transferring or withdrawing <u>Money or a Fiat-Referenced Token</u>, irrespective of any underlying obligations between the Payer and the Payee.

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Chapter 8 Money Services

The activity

52. Providing Money Services

Providing currency exchange, Money Remittance or Payment Services is a specified kind of activity.

Exclusions

53. Connected Services

An Authorised Person does not Provide Money Services if it does so in relation to the carrying on of another Regulated Activity where Providing Money Services is in connection with and a necessary part of that other Regulated Activity.

53A. Other exclusions

The following do not constitute Payment Services—

- (a) Payment Transactions executed wholly in cash ~~and or through the transfer of a Fiat-Referenced Token~~ directly between the Payer and the Payee, without any intermediary intervention;

- (b) Payment Transactions between the Payer and the Payee through a commercial agent authorised in an agreement to negotiate or conclude the sale or purchase of goods or services on behalf of either the Payer or the Payee but not both the Payer and the Payee;
- (c) the professional physical transport of banknotes and coins, including their collection, processing and delivery;
- (d) services where cash or a Fiat-Referenced Token is provided by the Payee to the Payer as part of a Payment Transaction for the purchase of goods or services following an explicit request by the Payer immediately before the execution of the Payment Transaction;
- ...
- (m) cash withdrawal services provided through automatic teller machines; or
- (n) the issuance of a Fiat-Referenced Token.

53B. Issuing a Fiat-Referenced Token

Issuing a Fiat-Referenced Token is a specified kind of activity.

2. Short title, extent and commencement

- (1) These Regulations may be cited as the Financial Services and Markets (Amendment No. 1) Regulations 2024.
- (2) These Regulations shall apply in the Abu Dhabi Global Market.
- (3) These Regulations come into force on the date of their publication.